LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

# What Is Adhoc Working Capital Support ?

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# Module 1: Theoretical Foundations and Product Philosophy of Adhoc Working Capital Support

Ad-hoc Working Capital Support represents a critical safety valve and rapid-drawdown liquidity mechanism within the Indian commercial banking ecosystem. In trade finance and corporate lending, businesses often face unexpected liquidity demands that fall outside their regularly sanctioned working capital limits. These shocks can stem from seasonal demand spikes, sudden bulk raw material procurement opportunities, delayed debtor collections, or emergency cash requirements. Ad-hoc limits are structured, short-term, temporary credit allocations designed to address these specific, transaction-backed, time-bound gaps rather than act as permanent increases to regular credit lines.

At its core, the philosophy of ad-hoc working capital support is built upon the concept of credit substitution and transaction-backed underwriting. Rather than relying heavily on the borrower's asset-heavy secondary collateral or static historic balance sheets, lenders evaluate the immediate self-liquidating nature of the transaction. For example, when a high-quality corporate buyer issues a large purchase order, the supplier's immediate working capital needs multiply. Through an ad-hoc limit, the bank substitutes the borrower's standalone credit risk with the transaction's high-quality receivables velocity. This structure allows banks to support dynamic growth without permanently exposing their credit portfolio to inflated leverage.

**The Operating Cash Cycle (Cash-to-Cash Cycle):**

To appreciate the role of ad-hoc funding, one must understand the Operating Cash Cycle (OCC). The OCC represents the time taken for an enterprise to convert its cash outflows (such as raw material purchases and labor expenses) back into cash inflows from sales. Under normal conditions, a firm's regularly sanctioned Cash Credit (CC) limit is structured to fund the average length of this cycle. However, when a sudden demand spike occurs, the cash cycle temporarily elongates or the volume of funds required to support raw material inventory increases exponentially. During this surge, if the enterprise does not secure additional capital, it faces operational bottlenecks, potential contractual defaults, and loss of market trust. Ad-hoc support bridges this exact gap, injecting liquidity that amortizes automatically as soon as the sales are realized and receivables flow back into the bank's escrow account.

This product is particularly crucial for Micro, Small, and Medium Enterprises (MSMEs), which traditionally operate with limited capital reserves and are highly sensitive to credit cycle disruptions. By offering ad-hoc support, commercial banks provide a vital safety net that preserves the financial stability and operating velocity of essential industrial and trade supply chains in India.

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# Module 2: Structural Comparative Taxonomy (The Working Capital Matrix)

Understanding how Ad-hoc Working Capital Support differs from other short-term credit facilities is essential for correct credit structuring and risk assessment. Below, we present a multi-dimensional comparative taxonomy outlining the operational and legal distinctions across key credit instruments.

| Dimension | Ad-hoc Working Capital | Cash Credit (CC) Limits | Working Capital Demand Loan (WCDL) | Short-Term Term Loans |
|---|---|---|---|---|
| Primary Intent | Temporary spikes, seasonal surges, specific bulk purchase transactions. | Ongoing working capital cycle, stock and debtor financing. | RBI loan delivery compliance, structured tranche-based drawings. | One-off capital expenditure or specific medium-term working capital gap. |
| Repayment Structure | Non-revolving; bullet or structured repayments aligned to invoice realization. | Revolving line of credit with frequent drawings and deposits. | Non-revolving; bullet repayment at maturity of each specific tranche. | Structured Monthly / Quarterly Equal Installments (EMIs) over a fixed term. |
| Interest Basis | Higher benchmark-linked rates; typically carries an ad-hoc premium of 1% to 2% p.a. | Standard EBLR or MCLR benchmark rates plus regular credit spreads. | Competitive rates, often discounted compared to CC because of fixed tenures. | Fixed or floating base rate plus standard risk-premium spreads. |
| Collateral Covenants | Pari-passu hypothecation charge on current assets; margin reserves often increased by 5-10%. | First charge on current assets (stocks & debtors); collateral mortgages. | First charge on current assets, typically carved out of the parent CC limit. | Primary charge on assets funded, supported by secondary real estate mortgages. |
| Tenure / Callability | Strictly short-term; capped at 90 to 120 days per tranche. Callable on demand. | Renewable annually; revolving facility with continuous operations. | Fixed short-term tenures (7 to 180 days); non-callable before maturity. | Fixed term ranging from 1 to 5 years; non-callable unless covenant default occurs. |

This comparative analysis underscores that Ad-hoc Working Capital Support is a highly surgical, transaction-specific instrument. It provides rapid-access liquidity without the long-term balance sheet rigidity of standard term loans or the continuous renewal requirements of regular Cash Credit facilities.

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# Module 3: The End-to-End Operational Lifecycle and Drawing Power (DP) Computations

Operating an ad-hoc working capital facility requires strict coordination between the corporate borrower's treasury and the commercial bank's credit operations. The operational lifecycle is executed in five distinct phases:

1. **Phase 1: Limit Carve-out or Application:** The borrower submits a formal application detailing the sudden requirement (such as a purchase order or seasonal raw material surge). The bank evaluates the transaction's genuineness and carves out the ad-hoc limit as a temporary sub-limit under the master CC agreement, or approves it as a standalone contingency limit.
2. **Phase 2: Disbursement Tranche Requests:** Disbursements are not made in a single lump sum directly to the borrower's general account. Instead, they are disbursed in tranches linked to specific, verified commercial transactions, such as payment against confirmed vendor invoices or Letter of Credit drawings.
3. **Phase 3: Fund Routing and Escrow Control:** To prevent capital diversion (a critical concern in trade credit), funds are routed directly from the bank's ad-hoc loan account to the verified vendor's bank account via RTGS/NEFT. Simultaneously, all customer collections resulting from the transaction are mandated to flow directly into a designated, lien-marked Escrow Account controlled by the bank.
4. **Phase 4: Repayment and Auto-Sweeps:** The ad-hoc limit is self-liquidating. As customer payments hit the escrow account, the bank's automated treasury systems execute daily sweeps, first liquidating outstanding ad-hoc principal and interest, before releasing surplus balances to the borrower's operating current account.
5. **Phase 5: Amortization and Renewal Block:** Once the specific transaction cycle ends, the ad-hoc limit is automatically deactivated. Under no circumstances can ad-hoc drawings be rolled over or renewed without a fresh credit appraisal and transaction audit.

**Drawing Power (DP) Computations:**

The actual utilization of a Cash Credit or ad-hoc facility is strictly governed by the borrower's daily Drawing Power (DP). DP represents the maximum borrowing capacity of the firm based on its eligible current assets, net of banker-prescribed margins and sundry creditors. In ad-hoc limit structuring, banks frequently apply a more conservative margin covenant (typically increasing stock margins from 25% to 35%, and debtor margins from 30% to 40%) to mitigate the elevated risk of sudden exposures.

The standard formula for calculating Drawing Power is expressed as follows:

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**Drawing Power (DP) = [Eligible Stock * (1 - Stock Margin)] + [Eligible Debtors * (1 - Debtor Margin)] - Sundry Creditors**

Here, 'Eligible Stock' excludes slow-moving or obsolete inventory (typically stock older than 90 days), and 'Eligible Debtors' excludes book debts older than the bank's aging cap (usually 90 days). The subtraction of 'Sundry Creditors' is vital, as it prevents double-financing—ensuring that inventory which has not yet been paid for is not funded by the bank.

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# Module 4: Underwriting Framework and Key Credit Risk Metrics

Lenders employ a multi-layered quantitative and qualitative framework to underwrite ad-hoc working capital applications, ensuring that the business has both the capacity to execute the underlying transaction and the cash flow velocity to liquidate the debt.

### 1. The Tandon Committee's Second Method of Lending:

For borrowers with aggregate working capital exposure exceeding ₹10 Crores, banks evaluate the limit adequacy using the Tandon Committee's Second Method of Lending. This conservative method stipulates that the borrower must contribute at least 25% of their total current assets from long-term sources (such as equity and term debt), maintaining a minimum Current Ratio of 1.33:1. Under this method, the Maximum Permissible Bank Finance (MPBF) is calculated as:

**MPBF = (0.75 * Total Current Assets) - Other Current Liabilities (excluding bank borrowings)**

### 2. The Projected Turnover Method (PTM / Nayak Committee):

For small and medium enterprises with aggregate credit requirements up to ₹5 Crores, banks utilize the Projected Turnover Method. Under this method, the total working capital requirement is estimated at 25% of the projected annual turnover. The bank provides credit for 20% of the turnover, while the promoter contributes the remaining 5% as their margin. This appraisal method dramatically simplifies underwriting, focusing on sales velocity and GSTR-3B filings.

### 3. Real-Time Credit Scorecard and Digital Trail Underwriting:

In addition to classical committee guidelines, modern underwriters evaluate ad-hoc credit applications against a rigorous credit scorecard. This scorecard prioritizes promoter personal credit standing (CIBIL score > 700) and the CIBIL MSME Rank (CMR 1 to 4) to assess management reliability. Underwriters also utilize Account Aggregator APIs to assess real-time bank statement credit velocity, verifying that current account inflows support the projected drawing levels. Finally, GSTR-1 and GSTR-3B tax filings are cross-referenced to validate the growth trends in sales and ensure there are no discrepancies in sales data.

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# Module 5: Legal Security Architecture, Supplemental Hypothecation, and CERSAI Guidelines

Securing an ad-hoc credit facility requires establishing a robust, legally enforceable security charge over the current assets and receivables generated by the transaction. Lenders utilize a multi-layered legal framework to insulate themselves from defaults and divert capital to its intended purposes.

**Section 5.1: Absolute Assignment of Actionable Claims:** Under Section 130 of the Transfer of Property Act, 1882, the borrower signs an absolute assignment deed transferring ownership of specific receivables to the bank. This ensures that the buyer's payment obligations flow directly to the lender, completely bypassing the borrower's operating accounts.

**Section 5.2: Supplemental Hypothecation Agreement:** Since the ad-hoc limit represents a temporary surge, the borrower signs a Supplemental Hypothecation Agreement that extends the bank's first charge on inventory and book debts to include all newly acquired stocks and receivables, preserving priority of charge over secondary creditors.

**Section 5.3: The Tripartite Escrow and Non-Dispute Covenant:** Lenders mandate a tripartite escrow agreement between the borrower, the AAA corporate buyer, and the bank. Under this covenant, the buyer waives any rights of set-off or trade disputes, agreeing to make direct, unconditional payments into the bank-controlled escrow account upon dispatch of goods.

**Section 5.4: CERSAI Charge Registration and Statutory Filings:** Under the SARFAESI Act, 2002, and the 2021 Factoring Regulation Amendments, the bank must register the security charge with CERSAI (Central Registry of Securitisation Asset Reconstruction and Security Interest) within the strict 10-day statutory window. Simultaneously, the charge is registered with the ROC (Registrar of Companies) via Form CHG-1 within 30 days to protect the bank's priority over other lenders in the event of insolvency.

This legal infrastructure ensures that the bank's security interest remains perfected and fully senior to all third-party claims, protecting the asset quality of the commercial credit portfolio.

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# Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

Ad-hoc Working Capital Support is not a one-size-fits-all solution; it is designed for sectors that experience extreme seasonality, rapid transaction cycles, or high-volume purchase contracts. Below, we analyze the target sectors where ad-hoc credit alignment is most pronounced:

• **Manufacturing and EPC Contractors:** Manufacturing firms and civil contractors often experience massive raw material procurement spikes upon winning a public or private bid. Ad-hoc limits allow these enterprises to procure specialized metals, cement, or components upfront, avoiding project delays before long-term term loans are disbursed.

• **Agri-Commodity Trading and Cold Storage:** Agricultural traders face extreme seasonality during harvest cycles. They require rapid capital injections over 60 to 90 days to procure crops, pay farmers immediately (often mandated by local APMC rules), and hold inventory in cold storage before selling to food processing conglomerates.

• **Automotive and Consumer Electronics Components:** Distributors and suppliers in high-tech consumer electronics experience immense seasonal surges during pre-festive quarters (such as Diwali and Year-End sales). They leverage temporary limits to ramp up production and support high-volume dealer distribution networks.

• **Trade and Distribution Ecosystem Sizing:** Citing commercial credit and SIDBI MSME Pulse data, Retail and Wholesale Traders represent the single largest segment of working capital borrowers, making up 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment. To support this massive ecosystem, public and private sector banks in India have launched extensive digital portals, including State Bank of India's e-DFS (Electronic Dealer Financing Scheme) with an active portfolio of ₹49,261 Crores and e-VFS (Electronic Vendor Financing Scheme) standing at ₹28,092 Crores. Ad-hoc support acts as a vital sub-facility under these digital platforms, allowing distributors to secure immediate limit expansions to meet sudden dealer demand.

By aligning credit delivery with sectoral cash flow patterns, banks reduce credit friction, maximize capital utilization, and protect the broader supply chain from seasonal or transactional disruptions.

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# Module 7: Commercial Pricing Mechanics, Ad-hoc Premium Spreads, and Interest Tax Shields

Because ad-hoc limits are temporary, fast-track credit exposures, they are priced higher than standard regularly sanctioned Cash Credit lines. Lenders apply an ad-hoc premium spread (typically 1.00% to 2.00% p.a. above the base CC rate) to compensate for the rapid appraisal turnaround and temporary credit concentration. In the Indian banking system, pricing is benchmarked either to the External Benchmark Linked Rate (EBLR) for MSMEs or the Marginal Cost of Funds based Lending Rate (MCLR) for larger corporate entities.

**Mathematical Reduction of Daily Reducing Balance Interest:**

Unlike flat interest loans, ad-hoc working capital interest is computed strictly on a daily reducing balance basis, charged only on the actual negative balance outstanding at the end of the day. The formula for daily interest calculation is:

**Interest Cost = (Outstanding Balance * Annual Interest Rate * Days Outstanding) / 365**

Additionally, lenders levy upfront arrangement or processing fees (ranging from 0.25% to 0.50% of the ad-hoc limit). Under the Central Goods and Services Tax (CGST) Act, 2017, bank processing fees are classified as services and attract an 18% GST rate. However, interest payments are completely exempt from GST. Corporate borrowers can claim full Input Tax Credit (ITC) on the GST paid on processing fees, reducing the effective transaction friction.

To further sweeten the economics, corporate interest expenses are completely tax-deductible under Section 36(1)(iii) of the Income Tax Act, 1961. This deduction creates a powerful Interest Tax Shield, lowering the net after-tax cost of financing. The net effective cost of ad-hoc borrowing is calculated as:

**Net After-Tax Cost = Total Financing Cost * (1 - Corporate Tax Rate)**

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# Module 8: Regulatory Compliance, RBI Master Circulars, and IRACP Asset Classification

Ad-hoc Working Capital Support operates under strict regulatory oversight from the Reserve Bank of India (RBI). Commercial banks must comply with rigorous guidelines regarding credit delivery, current account opening, and asset classification.

• **The RBI Loan System for Delivery of Bank Credit:** To instil financial discipline in larger borrowers, the RBI mandates that for borrowers with aggregate fund-based working capital limits of ₹150 Crores and above, a minimum of 60% of the working capital limit must be delivered as a 'Working Capital Demand Loan' (WCDL). Ad-hoc limits must be structured as temporary, short-term tranches (often styled as temporary WCDL) rather than standard open-ended overdrafts to ensure compliance with this directive.

• **RBI Current Account Opening Guidelines:** To prevent credit leakage and unmonitored collections diversion, the RBI prohibits borrowers from opening current accounts with non-lending banks. If a borrower has an aggregate exposure exceeding ₹50 Crores, all collections must route through a designated Escrow/TRA Account managed by the lead lender. All ad-hoc disbursements and subsequent repayments must strictly flow through this designated escrow system.

• **The RBI IRACP Asset Classification Norms:** Under the Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines, banks must review and classify assets based on payment delays. An ad-hoc limit is treated as a revolving credit facility. Under the multi-layered default guidelines, a revolving account is classified as 'Out of Order' if the outstanding balance remains continuously in excess of the sanctioned limit/Drawing Power for 90 days. Furthermore, if the regular credit limit has not been formally renewed within 180 days from its due date, the account is automatically downgraded to a Non-Performing Asset (NPA).

• **Special Mention Account (SMA) Timelines:** To identify stress early, banks classify revolving and term limits into SMA stages. For revolving ad-hoc limits, if the drawings remain continuously irregular or 'Out of Order', the account is classified under SMA-0 (up to 30 days default), SMA-1 (31 to 60 days default), and SMA-2 (61 to 90 days default) before immediate NPA classification on Day 91.

These regulatory boundaries ensure that ad-hoc credit is used strictly for short-term, productive economic purposes, preserving the safety and stability of the banking sector.

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# Module 9: Comprehensive Real-World Case Study (Mumbai Steel Fabrication Pvt. Ltd.)

To illustrate the financial impact and commercial structuring of an ad-hoc working capital facility, we examine a real-world transactional scenario modeling a corporate borrower in India.

**Corporate Profile & Opportunity:**

Mumbai Steel Fabrication Private Limited (MSFPL) is a mid-market industrial fabrication company based in Maharashtra, with an active corporate tax rate of 25.17%. MSFPL maintains a regularly sanctioned Cash Credit (CC) limit of ₹10,00,00,000 (₹10 Crores) with the State Bank of India (SBI) to fund its routine working capital cycle. Under the regular master agreement, the interest rate is priced at 9.50% p.a. (based on SBI's EBLR benchmark plus spread).

In October 2026, MSFPL secures a high-volume, prestigious fabrication contract from a AAA public sector undertaking (PSU) valued at ₹4,00,00,000 (₹4 Crores). The PSU contract offers an attractive, negotiated 2.00% cash discount (worth ₹8,00,000) if MSFPL can execute direct-to-vendor RTGS payments for raw materials on Day 1. However, MSFPL's regular CC line is fully utilized supporting existing operating inventory. To bridge this sudden procurement surge, MSFPL applies for an ad-hoc temporary limit of ₹1,00,00,000 (₹1 Crore) for a tenure of 90 days. SBI approves the ad-hoc limit, applying a temporary ad-hoc premium of 1.50% p.a., setting the annual ad-hoc interest rate at 11.00% p.a. (9.50% + 1.50%).

**Financial Structuring Options:**

MSFPL's CFO evaluates two pathways to fund this sudden procurement gap:
• Option A: Rejecting the PSU cash discount and delaying vendor payment, utilizing a high-cost, unsecured corporate term loan at 16.50% p.a. with an upfront arrangement fee of 1.00%.
• Option B: Utilizing SBI's structured ad-hoc Working Capital limit of ₹1,00,00,000 at 11.00% p.a. with a 0.25% arrangement fee, while providing an additional 15% FD cash margin (₹15,00,000) earning 6.50% p.a. as temporary cash collateral.

**Financial Cost-Benefit Comparison Table (₹):**

| Financial Cost Dimension | Option A: Unsecured Term Loan | Option B: Structured Ad-hoc Limit |
|---|---|---|
| Total Borrowed Principal (₹) | 1,00,00,000 | 1,00,00,000 |
| Financing Tenure | 90 Days | 90 Days |
| Annualized Financing Rate (%) | 16.50% p.a. | 11.00% p.a. |
| Upfront Processing/Arrangement Fee (₹) | 1,00,000 | 25,000 |

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| | | |
|---|---|---|
| Upfront 18% GST on Bank Fees (₹) | 18,000 (recoverable) | 4,500 (recoverable) |
| Lien-Marked Cash Collateral (15% FD) (₹) | 0 (No physical lockup) | 15,00,000 (earning 6.50% p.a.) |
| Gross Interest Cost Outlay (90 Days) (₹) | 4,06,849.32 | 2,71,232.88 |
| FD Pre-Tax Interest Earned (90 Days) (₹) | 0 | -24,041.10 |
| Net Pre-Tax Cost Outlay (90 Days) (₹) | 5,06,849.32 | 2,72,191.78 |
| Corporate Income Tax Shield (@ 25.17%) (₹) | -1,27,573.97 | -74,785.77 |
| Upfront Negotiated Cash Discount Saved (₹) | 0 | -8,00,000 |
| **Net Post-Tax Financial Cost / Saving (₹)** | **3,79,275.35 (Cost)** | **-6,02,593.99 (Net Saving)** |

Treasury Appraisal Analysis:
By structuring the procurement gap via Option B (SBI's temporary ad-hoc limit), MSFPL achieves immense strategic value:
1. Direct Financial Savings: Option B reduces gross pre-tax interest outlay from ₹4,06,849.32 to ₹2,71,232.88, saving ₹1,35,616.44 in interest charges alone.
2. Upfront Cash Discount: Having access to Day 1 cash allows MSFPL to pay its raw material vendors immediately, securing a 2.00% cash discount (worth ₹8,00,00, paid out as a direct cost deduction).
3. Cash Collateral Earned: The ₹15,00,000 lien-marked Fixed Deposit earns ₹24,041.10 in interest over 90 days, partially offsetting the ad-hoc premium.
4. Tax Shield Efficiency: Corporate tax deductions under Section 36(1)(iii) of the Income Tax Act shield ₹74,785.77 of the financing costs.
5. Net Outcome: MSFPL converts a high-friction borrowing cycle into a net saving of ₹6,02,593.99, demonstrating the massive wealth-maximizing potential of structured ad-hoc credit.

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# Module 10: 10-Question Professional Certification Examination

This examination is designed to test professional trainees and credit officers on the legal, regulatory, and computational frameworks of Adhoc Working Capital Support in India. Detailed answers and rationales follow.

**Q1: Under Section 130 of the Transfer of Property Act, 1882, how are actionable claims (such as trade receivables) legally assigned to a bank?**
A) By simple physical delivery of invoices without a written contract.
B) By executing an absolute written assignment deed transferring all rights and remedies to the assignee.
C) By obtaining an oral NOC from the buyer.
D) By filing a charge only with the Registrar of Companies.

*Correct Answer: B*
*Rationale: Section 130 of the Transfer of Property Act, 1882, mandates that the transfer of an actionable claim must be effected strictly through a written instrument signed by the transferor. This written deed absolutely vests all rights, remedies, and priority of charge in the assignee (the bank), allowing direct legal recourse against the debtor.*
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**Q2: What is the maximum statutory window allowed for registering a security charge on current assets with CERSAI under the 2021 Factoring Regulation Amendments?**
A) 30 Days from date of limit sanction.
B) 10 Days from date of transaction execution.
C) 45 Days from stock statement submission.
D) 90 Days from first tranche disbursement.

*Correct Answer: B*
*Rationale: To prevent double-financing of current assets, the Factoring Regulation (Amendment) Act, 2021, shortened the statutory registration window, mandating that factors and commercial banks register every transaction or security charge with the central registry (CERSAI) within 10 days of execution. Failure to register within this window compromises the bank's priority of charge over competing lenders.*
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**Q3: Under the Tandon Committee's Second Method of Lending, what is the minimum Current Ratio that a corporate borrower must maintain to qualify for working capital finance?**
A) 1.00 : 1
B) 1.25 : 1
C) 1.33 : 1
D) 1.50 : 1

*Correct Answer: C*
*Rationale: The Tandon Committee's Second Method of Lending is a conservative credit appraisal method requiring corporate borrowers to contribute at least 25% of their total current assets from long-term sources (such as equity or term debt). This requirement translates to a mandatory minimum Current Ratio of 1.33:1, ensuring a solid liquidity cushion.*
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**Q4: How is the Projected Turnover Method (PTM / Nayak Committee) utilized to assess working capital limits for small enterprises with credit needs up to ₹5 Crores?**
A) Working capital is sized at 50% of the average of the last three years' gross profits.
B) Working capital requirement is estimated at 25% of projected annual turnover, with banks financing 20% and promoters contributing 5%.
C) limits are set strictly equal to the value of secondary real estate collateral.
D) limit is calculated as 75% of the book debt aging report.

*Correct Answer: B*
*Rationale: The Projected Turnover Method (Nayak Committee guidelines) simplifies credit delivery for small businesses. It estimates total working capital requirements at 25% of projected annual sales turnover. Commercial banks fund 20% of the turnover as a working capital limit, and the borrower contributes 5% as their margin.*
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**Q5: Under the RBI's IRACP guidelines, when does a revolving ad-hoc working capital limit become classified as 'Out of Order' (NPA)?**
A) If the account remains continuously inactive for 30 days.
B) If the outstanding balance exceeds the sanctioned limit or Drawing Power continuously for 90 days.
C) If the borrower fails to submit stock statements for 45 days.
D) If the interest is not paid within 15 days of demand.

*Correct Answer: B*
*Rationale: Under RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) norms, a revolving credit facility (such as Cash Credit or Overdraft) is classified as 'Out of Order' (and thus downgraded to NPA) if the outstanding balance remains continuously in excess of the sanctioned limit*

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*or Drawing Power for 90 days, or if there are no credit inflows to cover interest charges for 90 days.*
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**Q6: Under the RBI Loan System for Delivery of Bank Credit, what is the minimum percentage of the working capital limit that must be delivered as a Working Capital Demand Loan (WCDL) for borrowers with aggregate fund-based limits of ₹150 Crores and above?**
A) 20%
B) 40%
C) 50%
D) 60%

*Correct Answer: D*
*Rationale: To enforce financial discipline, the RBI's Master Directions on the Loan System for Delivery of Bank Credit mandate that for larger corporate borrowers with aggregate working capital limits of ₹150 Crores and above, a minimum of 60% of the credit limit must be delivered as a non-revolving Working Capital Demand Loan (WCDL), with the remaining 40% carved out as a revolving Cash Credit limit.*
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**Q7: Which section of the Income Tax Act, 1961, permits a corporate borrower to claim interest paid on an ad-hoc working capital limit as a fully deductible business expense?**
A) Section 37(1)
B) Section 36(1)(iii)
C) Section 43B
D) Section 80IA

*Correct Answer: B*
*Rationale: Section 36(1)(iii) of the Income Tax Act, 1961, explicitly allows businesses to deduct interest paid in respect of capital borrowed for the purposes of the business or profession. This deduction creates the interest tax shield, lowering the effective net post-tax cost of borrowing for corporate entities.*
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**Q8: Under the Central Goods and Services Tax (CGST) Act, 2017, what is the tax treatment applied to bank interest outlays and upfront bank arrangement fees?**
A) Both bank interest and processing fees attract 18% GST.
B) Bank interest is completely GST-exempt, while bank processing and arrangement fees attract 18% GST.
C) Bank interest attracts 12% GST, and processing fees are completely tax-free.
D) Both are completely exempt from GST.

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*Correct Answer: B*
*Rationale: In the Indian tax system, interest paid on loans and credit facilities is classified as exempt from GST. However, financial services such as bank processing fees, arrangement charges, and commitment fees are fully taxable services and attract a standard 18% GST rate, which is fully recoverable by business entities as Input Tax Credit (ITC).*
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**Q9: Calculate the Drawing Power (DP) for a borrower with: Gross Stock = ₹3,00,00,000 (including ₹50,00,000 older than 90 days); Total Debtors = ₹1,50,00,000 (all under 90 days); Sundry Creditors = ₹80,00,000. Margins are 25% on Stock and 30% on Debtors.**
A) ₹1,87,500,000
B) ₹2,12,500,000
C) ₹2,67,500,000
D) ₹3,12,500,000

*Correct Answer: B*
*Rationale: Let's calculate: (1) Eligible Stock = Gross Stock (₹3.0 Cr) - Obsolete Stock (₹50 Lakhs) = ₹2,50,00,000. (2) Net Stock after 25% margin = ₹2,50,00,000 * 0.75 = ₹1,87,500,000. (3) Eligible Debtors = ₹1,50,00,000. (4) Net Debtors after 30% margin = ₹1,50,00,000 * 0.70 = ₹1,05,00,000. (5) Total current asset funding capacity = ₹1,87,50,000 + ₹1,05,00,000 = ₹2,92,50,000. (6) Subtract Sundry Creditors = ₹2,92,50,000 - ₹80,00,000 = ₹2,12,50,000.*
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**Q10: What is the primary regulatory restriction imposed on Primary (Urban) Cooperative Banks (PCBs) regarding the grant of bridge loans or ad-hoc interim finance?**
A) PCBs can grant ad-hoc limits up to ₹10 Crores without RBI approval.
B) PCBs can only lend to agricultural cooperative societies.
C) PCBs are completely prohibited from granting bridge loans or ad-hoc interim finance under any circumstances.
D) PCBs must secure 100% cash margins for all ad-hoc facilities.

*Correct Answer: C*
*Rationale: Under RBI Master Circulars, Primary (Urban) Cooperative Banks (PCBs) are strictly and completely prohibited from granting bridge loans, ad-hoc interim finance, or temporary credit allocations to any borrower or corporate under any circumstances. This restriction protects PCBs from credit concentration and asset liability mismatch risks.*
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